

ProcureIQ — Product Requirements Document (PRD)

Version: 1.0

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Project: AI Procurement Analyst Prototype

Assignment: Aerchain – Assignment 2

Product Overview

ProcureIQ is an AI-powered Procurement Analyst that helps procurement teams evaluate supplier quotations faster using natural language. Rather than manually comparing vendors across pricing, lead times, commercial terms, and supplier performance, buyers can ask procurement-specific questions and receive structured, evidence-backed recommendations.

The product augments procurement decision-making by combining a traditional side-by-side comparison with an integrated AI analyst.

Problem Statement

Procurement teams spend significant time manually analyzing supplier quotations after an RFQ has been completed.

Although procurement platforms provide side-by-side comparison tables, buyers still need to manually determine:

- Which supplier provides the best overall value
- Commercial trade-offs between suppliers
- Procurement risks
- Best negotiation opportunities
- Executive procurement summaries

This process is repetitive, time-consuming and inconsistent across sourcing events.

Goal

Build an AI Procurement Analyst capable of:

- Answering procurement questions using natural language
- Comparing suppliers across commercial and technical parameters
- Providing explainable supplier recommendations
- Generating procurement summaries
- Exporting procurement insights

The prototype should demonstrate how AI can accelerate procurement decisions without sacrificing transparency or trust.

Scope

In Scope

- Side-by-side supplier comparison
- AI Procurement Chat
- Recommendation Engine
- Procurement Summary
- Persona Toggle
- PDF Export
- Static procurement datasets

Out of Scope

- RFQ Creation
 - Supplier Onboarding
 - Contract Management
 - Purchase Orders
 - ERP Integrations
 - Authentication
 - Live Procurement Data
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User Personas

Procurement Manager

Focuses on operational sourcing decisions.

Primary goals:

- Compare quotations
 - Evaluate suppliers
 - Identify negotiation opportunities
 - Generate procurement summaries
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Head of Procurement

Focuses on executive procurement decisions.

Primary goals:

- Review recommendations
 - Understand procurement risks
 - Approve supplier selection
 - Make informed sourcing decisions
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Core Features

Side-by-Side Comparison

Compare five suppliers across fifteen procurement line items using standardized comparison parameters.

AI Procurement Analyst

Supports procurement-specific natural language queries and provides evidence-backed responses.

AI Recommendation Engine

Recommends suppliers based on pricing, lead time, technical compliance, supplier performance and commercial terms while clearly explaining trade-offs.

Procurement Summary

Generates persona-specific summaries tailored for Procurement Managers and Heads of Procurement.

Export

Export Procurement Summary as PDF and supplier comparison as Excel.

Procurement Dataset

The prototype contains two sourcing events:

1. Corporate IT & Laptop Procurement
2. Industrial Safety Equipment Procurement

Each sourcing event contains:

- Five Vendors
 - Fifteen Line Items
 - Static supplier quotations
 - Commercial information
 - Supplier performance data
 - Supporting quotation documents
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AI Guardrails

The AI Procurement Analyst must:

- Answer only using the procurement dataset
- Never hallucinate supplier information
- Never fabricate pricing or commercial values
- Never answer unrelated questions
- Clearly communicate when information is unavailable

Every recommendation must include:

- Recommendation
 - Supporting Evidence
 - Trade-offs
 - Procurement Risks
 - Confidence Level
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Success Metrics

The prototype will be considered successful if users can:

- Identify the recommended supplier in under 2 minutes
- Receive AI responses in under 10 seconds
- Generate procurement summaries in under 30 seconds
- Successfully export PDF

- Understand why a supplier was recommended through transparent, evidence-backed reasoning